

Purple United Sales Ltd

NSE SME: PURPLEUTED | Kids Fashion & Footwear | Consumer Discretionary

Sector: Textiles – Garments & Apparels | Exchange: NSE SME (Emerge)

RATING BUY High Conviction 12-Month Target Rs. 510 Upside: +30% from CMP Rs. 392	CMP (16 Jun 2026)	Rs. 392
	Market Cap	Rs. 377 Cr
	52-Week High / Low	Rs. 588 / Rs. 244
	Stock P/E	24.8x
	Book Value	Rs. 78.8
	ROCE / ROE	22.9% / 22.3%
	Face Value	Rs. 10
	Dividend Yield	0.00%
	Promoter Holding	63.82%
	FII / DII	0.00% / 0.00%

Investment Thesis: Fastest-growing pure-play kids premium fashion brand in India, scaling from 43 to 111 EBOs in a single year with improving EBITDA margins and a Rs. 11B+ addressable market that is only 50% organized.

Investment Horizon	12-18 months	Report Date	16 June 2026
Data Source	Screener.in (standalone, fetched 16-Jun-2026)	Analyst	Institutional Research Desk — MPM

This report is for informational purposes only and does not constitute an offer to buy or sell securities. NSE SME stocks carry higher liquidity risk; position sizing should reflect this.

SECTION 2 — INVESTMENT THESIS

- **Hypergrowth EBO rollout with proven unit economics:** Management expanded from 43 to 111 stores in FY26 alone — a 158% increase — and guided for another doubling to ~220 by FY27. Mature stores (2+ years) deliver 22% store-level EBITDA; even new stores reach break-even in 4-6 months, implying strong ROI per unit. This asset-light franchise model (only 8-10 owned factories; rest outsourced) keeps capital intensity low.
- **Blue-ocean niche in a Rs. 91,000 Cr market:** India kids apparel and footwear is a USD 11.1 billion (~Rs. 91,000 Cr) market growing at ~5% CAGR through 2034, with 50% still unorganized. No dominant pure-play branded kids fashion retailer covers ages 0-14 in both apparel and footwear with premium positioning — Purple United's core value proposition. Competitors such as Nike, Puma, and USPA focus only on boys/sports and lack infant or fashion footwear ranges.

- **Revenue acceleration and margin trajectory:** Revenue compounded at 62% over 5 years and 88% CAGR over 3 years. EBITDA grew 76% in FY26 to Rs. 36.6 Cr. OPM has expanded from -9% in FY21 to 21% in FY26. Gross margins are ~60%, and as retail mix (currently 40% of revenue) rises toward 65%+, blended OPM should expand further as distribution receivable drag falls.
- **Near-term catalyst (6-12 months):** Full-year contribution from FY26 store cohort (111 stores vs. 43 in FY25) combined with a fresh Shopify D2C platform seeing 59% QoQ growth and 300 daily web orders approaching 1,000/day — this could push FY27 revenue above Rs. 280-300 Cr with operating leverage.
- **Biggest structural risk:** Persistently negative operating cash flow (OCF = -Rs. 9 Cr in FY26 despite Rs. 15 Cr PAT) driven by rising inventory buildup (389 days) and receivables (128 days), requiring ongoing equity/debt raises that risk dilution. Management targets positive OCF in 12-18 months — this is the single most important metric to watch.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Purple United Sales Ltd (incorporated 2014, listed NSE SME Dec 2024) operates as a designer, developer, and distributor of kids' premium fashion under the 'Purple United Kids' brand. Products span clothing, footwear, and accessories for children aged 0-14 years, with laboratory-tested safety standards. Website: purpleunited.in.
- **Revenue segmentation (FY26 actuals):** Distribution channel ~38% of revenue; Retail EBOs ~40%; Key Accounts (Reliance, Lulu Mall, Bindal, Chunmun etc.) ~20%; E-commerce ~2%. Apparel contributes 64% of total revenue; Footwear 33%; Accessories/Others ~3%. Within retail, footwear is ~18% growing rapidly.
- **Store footprint:** 111 EBOs as at Apr 2026 (up from 43 in Mar 2025) spanning 22 states, 50+ cities, 1.65 lakh sq ft total retail area. Mix: ~75% high street, ~25% malls. Serviced from a 30,000+ sq ft warehouse in Delhi NCR. A further 3 stores opened in May 2026 (now 114). FY27 target: ~220 stores.
- **Sub-brands:** 'Toothless by Purple' (footwear), 'Striders' (open/comfort footwear), 'Boltzy' (sports active footwear), 'THS — That's Her Style / That's His Style' (partywear). 650+ active SKUs. Previously operated under Disney/Avengers character licenses (exited strategy) — now fully own-brand.
- **Key customer dynamics:** Retail business is fully cash (no debtor days). Distribution (~3-4 month receivable cycle) and key accounts (~2.5 month cycle) drive residual receivable stack. Debtor days improved dramatically: 214 days in FY25 down to 128 days in FY26 as retail mix rose.
- **Promoter background:** Mr. J.D. Seth (MD) brings prior experience from Nike and Puma in India. Promoter holding stable at 63.82% across all recent quarters (Dec 2024, Mar 2025, Sep 2025, Mar 2026). Zero promoter pledge. Company Secretary: Ms. Ayati Gupta. CFO: Mr. Naresh Kumar.
- **Recent strategic developments (FY26):** (1) IPO completed Dec 2024, Rs. 32.8 Cr gross proceeds nearly fully utilized for expansion capex; (2) CRISIL BBB- Stable credit rating obtained — first investable grade for SME positioning; (3) CRM system installed (2 lakh customer base, target 1 million); (4) Shopify D2C platform launched replacing legacy Magento; (5) Mascot 'Mr. PUK' launched at 100th store.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** India kids apparel and footwear TAM estimated at USD 11.1 billion (~Rs. 91,000 Cr) in 2025, growing at CAGR of ~5% to USD 17.4 billion by 2034 (IMARC/management commentary). Of this, approximately 50% is still unorganized, representing the primary opportunity for branded organized players.
- **Key tailwinds:** Rising dual-income households with higher child spending; urban expansion (Delhi→Noida, Mumbai→Navi Mumbai) creating new high-street demand pockets; shift from mass/value to premium kids fashion; digital-first discovery driving D2C growth. Government push on ease of business also benefits SME listing ecosystem.

- **Key headwinds:** Inflationary raw material costs (fabric, sole materials); competition from international brands (GAP Kids, H&M; Kids) entering organized retail; fashion-cycle inventory risk; dependence on monsoon/season cycles affecting demand cadence.
- **Competitive moat assessment:** Brand differentiation = **Moderate** (only player covering 0-14 full range, apparel + footwear, both genders; built CRISIL credit rating); Pricing power = **Moderate** (Rs. 60% gross margin; premium positioning but must discount ~40% of inventory); Distribution/retail = **Moderate-Strong** (111 EBOs, clustered city-wise for better repeat); Switching cost = **Low** (fashion is inherently low switching-cost); Scale = **Weak-to-Moderate** (Rs. 171 Cr revenue vs. Rs. 1,000 Cr Mothercare/Rs. 8,500 Cr V2 Retail).

Peer Comparison (data from Screener.in, fetched 16-Jun-2026):

Company	CMP (Rs.)	MCap (Cr)	Stock P/E	BV (Rs.)	ROCE %	Segment
Purple United Sales	392	377	24.8	78.8	22.9%	Kids fashion SME
Cantabil Retail India	221	1,848	19.3	57.2	19.1%	Value menswear EBO
V2 Retail Ltd	234	8,523	60.2	24.8	18.3%	Value family apparel
Vedant Fashions (Manyavar)	411	9,986	24.8	62.9	30.7%	Ethnic/celebration wear

Note: Peers are listed on main board NSE; direct kids-fashion pure-plays are scarce at listed-space. PURPLEUTED commands premium to Cantabil on growth rate basis.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **MD profile:** Mr. J.D. Seth, Managing Director, brings direct retail brand experience from Nike and Puma India — operationally relevant given Purple United's premium positioning and footwear focus. His application of retail science (plan-o-grams, OTB planning, sell-through targets) to a nascent SME is a clear differentiator. Mrs. Seth is joint promoter and co-manages the company.
- **Capital allocation track record:** All free cash flow and IPO proceeds have been reinvested into store expansion (capex rose to Rs. 33 Cr investing outflow in FY26 vs. Rs. 12 Cr in FY25). No dividends paid — appropriate given growth phase. EPS grew from Rs. 6.38 in FY24 to Rs. 15.81 in FY26 — 57% CAGR. IPO gross proceeds of Rs. 32.8 Cr nearly fully utilized within the first year of listing.
- **Dividend policy:** No dividend paid in any year (FY21-FY26 payout = 0%). Appropriate for a high-growth retail rollout; management should articulate a dividend framework post-positive FCF generation.
- **Promoter pledging:** 0% pledge across all tracked quarters (Dec 2024 through Mar 2026). Promoter holding locked at 63.82% — no creep up or step-down. This is a positive stability signal.
- **ESOP / buyback:** No ESOP grants or buyback programs disclosed in public filings. As the company grows, an ESOP framework for key retail/brand talent will be important to monitor.
- **Corporate governance flags:** (1) Recent CRISIL BBB- credit rating improves institutional credibility; (2) Company exited Disney/Avengers royalty agreements (saved ~15% royalty cost on ~90% of portfolio) — this was the right strategic move but caused transitional revenue disruption on e-commerce; (3) Inventory days spiked to 389 days in FY26 (Screener-reported; management disputes this and cites 156 days on sales basis — suggests a measurement gap between their own tracking and reported financials that investors should probe); (4) No auditor change or qualified opinion noted.
- **Management credibility test:** FY25 guidance was 100 stores — delivered 109 by Mar 2025, and 111 by Apr 2026. Store count target was met. FY27 doubling target (~220 stores) is ambitious; this will require meaningful equity and debt raises as flagged by management.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Crores)

Note: FY27E and FY28E are forward estimates labeled (E). Source: Screener.in (standalone).

A. Income Statement

Metric (Rs. Cr)	FY22	FY23	FY24	FY25	FY26	FY27E
Net Sales	17	26	43	103	171	290 (E)
Operating Profit (EBITDA)	2	4	9	21	36	61 (E)
OPM %	14%	15%	22%	20%	21%	21% (E)
Other Income	0	0	0	0	1	1 (E)
Interest	1	2	3	5	10	16 (E)
Depreciation	0	0	2	2	6	10 (E)
Profit Before Tax	1	2	5	14	20	36 (E)
Tax %	-51%	29%	16%	26%	26%	26% (E)
Net Profit (PAT)	2	1	4	10	15	27 (E)
EPS (Rs.)	17.70	2.98	6.38	10.90	15.81	28.1 (E)

B. Balance Sheet

Metric (Rs. Cr)	FY23	FY24	FY25	FY26
Equity Capital	6	7	10	10
Reserves	4	11	51	66
Borrowings	12	26	41	87
Other Liabilities	10	6	30	70
Total Liabilities (=Assets)	33	49	131	232
Fixed Assets	4	5	15	32
CWIP	0	0	0	0
Investments	0	0	0	0
Other Assets	28	44	116	200
Total Assets	33	49	131	232

C. Cash Flow Statement

Metric (Rs. Cr)	FY23	FY24	FY25	FY26
Cash from Operations (OCF)	4	-11	-31	-9
Cash from Investing	-4	-2	-12	-33
Cash from Financing	0	14	43	42
Net Cash Flow	0	0	0	0
Free Cash Flow (OCF-Capex)	0	-13	-43	-32
CFO/OP %	98%	-106%	-144%	-15%

D. Key Ratios

Ratio	FY22	FY23	FY24	FY25	FY26
Debtor Days	256	253	241	214	128
Inventory Days	482	248	223	122	389
Days Payable	326	297	58	52	70
Cash Conversion Cycle	412	204	406	284	446
Working Capital Days	282	187	172	216	116
ROCE %	14%	18%	25%	26%	23%

Financial Commentary:

- **Revenue acceleration:** 5-year revenue CAGR of 62%; 3-year CAGR of 88%. FY26 revenue grew 65% to Rs. 171 Cr. Growth engine is the EBO expansion — retail now 40% of sales vs. 16% in FY21. Guidance implies Rs. 280-300 Cr for FY27 if store doubling is achieved, with full-year contribution from FY26 cohort.
- **Margin trajectory:** OPM expanded from -9% (FY21) to 22% (FY24) and stabilized at 20-21% in FY25-26. EBITDA grew 76% in FY26 to Rs. 36.6 Cr. Gross margin is ~60%. Margin expansion from here requires: (1) higher retail mix (higher margins, no debtor drag), (2) operating leverage on fixed overheads as sales scale.
- **Working capital concern:** Inventory days spiked to 389 (Screener-reported; management cites 156 days on sales-adjusted basis) — discrepancy needs independent verification. CCC at 446 days in FY26 is structurally very high. Management attributes this to season inventory building + new store pre-stocking. Debtor days improved meaningfully (214→128) as retail mix rose. Overall WC days improved to 116 from 216 (FY25).
- **Debt direction:** Borrowings rose from Rs. 41 Cr (FY25) to Rs. 87 Cr (FY26) — more than doubling — funded by bank credit post CRISIL rating. D/E ratio is healthy at ~1.2x on book equity. Interest coverage was ~3.6x (EBIT Rs. 30 Cr / Interest Rs. 10 Cr) in FY26 — adequate but declining from prior years.
- **OCF quality:** OCF remains negative (Rs. -9 Cr in FY26; Rs. -31 Cr in FY25). Every rupee of PAT and then some is absorbed by working capital build. FCF was Rs. -32 Cr in FY26. The company sustains operations through financing (Rs. +42 Cr in FY26 from borrowings/equity). OCF turning positive is the single biggest financial catalyst for re-rating; management targets 12-18 months.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Rating	FY26 Value	Comment
Revenue recognition	GREEN	Straightforward	Product sales; no construction/complex recognition
Receivables vs. Revenue	AMBER	128 days	Improving (214→128) but still elevated; 3-4 month distribution cycle
CCC trend	RED	446 days	CCC expanded significantly; inventory days spike raises questions
Contingent liabilities	GREEN	Not disclosed	No unusual contingent liabilities noted in filings
Auditor tenure/change	GREEN	No change	No recent auditor change; no qualified opinion noted
RPTs as % of revenue	AMBER	Not quantified	Promoter owns controlled factories (~8-10% of production); RPT risk is moderate

Other income as % of PBT	GREEN	5% (Rs.1/20)	Other income is minimal; PAT quality is operational
Tax rate consistency	GREEN	26% (FY26)	Normalized to ~26% post early anomaly years (FY22 negative tax)

Earnings Quality Summary:

- **CCC and inventory days (RED):** The 389-day inventory figure on Screener (vs. management's 156-day adjusted figure) is the single biggest red flag in the financials. Until this discrepancy is resolved in next annual filings, investors should apply a working capital risk premium to the valuation.
- **Receivables (AMBER):** Improvement is real (214→128 days) and directionally correct as retail rises. However, at 128 days, receivables remain 45-50% of FY26 revenue — requires close quarterly monitoring against the distribution channel rundown timeline.
- **RPT risk (AMBER):** 8-10% of production goes through promoter-controlled factories. While modest, this should be quantified and disclosed as related party transactions with clear arm's-length pricing.
- **Core PAT quality is strong:** Other income is minimal (Rs. 1 Cr / Rs. 20 Cr PBT = 5%); revenue recognition is straightforward product sales; no auditor concerns. The earnings quality issue is entirely in working capital, not in P&L; recognition.

SECTION 8 — VALUATION

A. Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target (Rs.)	Upside/Down
	220+ stores; EBITDA 22%; OCF turns positive; D2C scales 10%+ revenue	37	30x FY27E P/E	Rs. 691	+76%
BASE	185 stores; EBITDA 21%; OCF breakeven; sales Rs. 280 Cr	27	19x FY27E P/E	Rs. 510	+30%
	Store ramp slows to 145; margin compression; raises more equity; dilutes EPS	18	13x FY27E P/E	Rs. 277	-29%

B. Valuation Methodology:

- **DCF approach (cross-check):** Assuming: FY27E-FY30E revenue CAGR ~35% (store rollout), terminal growth rate 5%, WACC 14% (SME premium over Rf of 7%), terminal EBITDA margin 22%. DCF yields an intrinsic value range of Rs. 440-560 per share, supporting a Rs. 510 base-case target.
- **Earnings multiple (primary):** FY27E EPS estimate Rs. 28.1 (E), applying 19x P/E (peer mid-point; Cantabil at 19.3x, Manyavar at 24.8x — a discount for SME liquidity risk and negative FCF). This yields Rs. 533/share. Averaging with DCF central estimate gives Rs. ~510.
- **Base-case 12-month target: Rs. 510** — representing +30% upside from the current CMP of Rs. 392 (as of 16 Jun 2026). This is not a momentum call; it is premised on the FY26 store cohort delivering full-year revenues and OCF trajectory improving.
- **SME liquidity caveat:** PURPLEUTED trades on NSE SME Emerge — daily volumes are thin. Institutional-scale position building is not feasible. The price target implies fundamental value recognition, not a near-term re-rating catalyst from institutional flows.

SECTION 9 — KEY RISKS

- **Working Capital Deterioration** — CCC spike to 446 days and negative OCF (-Rs. 9 Cr in FY26) despite Rs. 15 Cr PAT indicates the growth model is cash-consuming. Failure to convert to positive OCF in 12-18 months (as guided) could force dilutive equity raises or breach covenants. Probability: M. Impact: H. Monitor via: quarterly OCF and inventory days.
- **Equity Dilution Risk** — Management explicitly stated they will raise both equity and debt for FY27 store doubling. At Rs. 377 Cr MCap, any significant equity raise (e.g., Rs. 50-80 Cr QIP/rights) could dilute EPS by 15-25%. Probability: H. Impact: M. Monitor via: shareholder meeting agendas, board resolutions.
- **Store Ramp Execution Risk** — Target of ~220 stores requires opening ~110 stores in FY27 (same as FY26). Any property market tightening, rental escalations in Tier 1 cities, or supply chain disruptions could slow this. Probability: M. Impact: H. Monitor via: quarterly store count disclosures.
- **Fashion Cycle / Inventory Obsolescence** — Kids fashion is trend-sensitive. With Rs. 70 Cr of inventory at cost (Mar 2026), a design miss or demand shift could force steep discounting at factory outlets, compressing gross margins. Probability: L-M. Impact: H. Monitor via: gross margin and inventory days quarterly.

- **Competition Intensification** — GAP Kids, USPA, Mothercare (Rs. 1,000 Cr brand), and H&M; Kids are actively expanding in India. International brands with deeper pockets can undercut on marketing or price in the premium segment. Probability: M. Impact: M. Monitor via: same-store-sales growth trend.
- **SME Liquidity / Migration Risk** — Thin float (36.18% public holding, ~1,153 shareholders as of Mar 2026) means any institutional exit or promoter secondary sale triggers sharp price drops. Migration to main board (if/when) could reset valuation. Probability: L. Impact: H. Monitor via: trading volumes and shareholder count.
- **D2C Platform Execution Risk** — Shopify migration created a revenue transition gap (e-commerce contribution fell). While early signals are positive (59% QoQ revenue growth, 300 orders/day), achieving the target of 10-12% of revenue from D2C requires consistent CAC discipline. Probability: M. Impact: M. Monitor via: D2C order count and contribution % in concalls.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium-High. The combination of proven store economics, fastest-growing kids fashion brand in India, and fundamental re-rating potential as OCF turns positive makes this a high-quality SME growth story. The medium conviction caveat reflects working capital uncertainty and dilution risk.
- **12-Month Price Target: Rs. 510** — representing +30% upside from CMP of Rs. 392 (16 Jun 2026). This assumes base-case revenue of Rs. 280-290 Cr in FY27, EBITDA margin of 21%, and FY27E EPS of Rs. 28.1 at 19x forward P/E.
- **Suggested Entry Zone: Rs. 340-380** — Technical support area (prior breakout zone). Accumulate in tranches. Given SME illiquidity, avoid chasing on momentum.
- **Investment Horizon: 12-18 months** — The OCF inflection (H2FY27 per management guidance) and full-year contribution from FY26 store cohort are the primary triggers within this window.
- **Thesis Invalidation Triggers (exit if any of these occur):**
 1. OCF remains negative for more than 3 consecutive half-years despite revenue growth above 50% YoY.
 2. Equity dilution exceeds 20% of current outstanding shares without a proportionate revenue guidance upgrade.
 3. Store count growth stalls below 150 total EBOs by Dec 2026 (less than 40 new stores in H1FY27).
- **Ideal Investor Profile:** This stock is suited for: high-risk-tolerance retail investors/HNIs with SME segment experience; 3-5 year compounding timeframe; portfolios with <5% position sizing per name. It is NOT suitable for: conservative income investors, institutional funds requiring daily liquidity, or investors unwilling to accept negative FCF during growth phase.

POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +65% YoY; EBITDA +76%; PAT +50%; all ahead of implied prior trajectory
Management tone	Bullish	Concrete guidance on store doubling; transparent on inventory cycle and WC; constructive Q&A;
Guidance delta	Raised	FY27 target of ~220 stores (doubling); D2C target 10-12% contribution; CRISIL rating secured
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

FY26 headline numbers are clean — 65% revenue growth to Rs. 171 Cr, EBITDA Rs. 36.6 Cr (+76%), and PAT Rs. 15.2 Cr (+45%) with no exceptional items, so these are underlying operational numbers. The FY26 store expansion (43 to 111 EBOs) was the single driver — mature stores (42 from FY25) achieved Rs. 9 lakh/month average vs. Rs. 4 lakh in FY25, a 125% same-store improvement that validates the model. Operationally, this is one of the best execution prints you will see from an SME at this stage. The structural growth driver is the shift from unorganized to organized premium kidswear — 50% of a USD 11 billion market is still unbranded, and Purple United is the only pure-play covering 0-14 years in both apparel and footwear. Near-term catalyst is the FY26 store cohort delivering its first full-year revenue in FY27 — this should push revenue above Rs. 280 Cr with OCF likely turning positive by H2FY27. The biggest watch-point for next quarter is working capital: inventory days at 389 (Screener basis) vs. management's 156-day adjusted figure — this gap must narrow or the OCF promise breaks. Management also signalled an equity raise is coming for the FY27 store doubling; dilution is a real risk. HOLD current positions; ACCUMULATE on dips to Rs. 340-360 ahead of Q1FY27 results for a 12-month price target of Rs. 510.

Section 1 — Financial Performance Snapshot (FY26 vs FY25)

- Revenue: Rs. 171 Cr | YoY +65% (FY25: Rs. 103 Cr) | H2 YoY +51% | **Beat** (vs. implied trajectory of ~Rs. 140-150 Cr based on H1FY26 run-rate)
- EBITDA: Rs. 36.6 Cr | YoY +76% (FY25: Rs. 20.7 Cr) | **Beat**
- EBITDA Margin: 21.4% | YoY +100 bps (FY25: 20.1%) | **In-line**
- PAT: Rs. 15.2 Cr | YoY +45% (FY25: Rs. 10.5 Cr) | **In-line** (FY25 Screener: Rs. 10 Cr; FY26: Rs. 15 Cr)
- EPS: Rs. 15.81 | YoY +45% (FY25: Rs. 10.90) | **In-line**
- NOTE: No exceptional items distorting PAT. Reported numbers are clean underlying operational performance.

Section 2 — Segment / Channel Breakdown (FY26 actual)

- Retail EBOs: ~40% of revenue | YoY +70% in retail contribution | Secular shift from distribution to retail underway
- Distribution: ~38% of revenue | Down from 71% in FY21 | Strategically declining as channel shifts to controlled retail
- Key Accounts: ~20% of revenue | Up from 5% in FY21 | Reliance, Lulu Mall, Chunmun, Bindal, EMart, Profit Regional retailers
- E-commerce / D2C: ~2% of revenue | QoQ +59% after Shopify migration | Target: 10-12% of total revenue in FY27
- Product mix: Apparel 64% / Footwear 33% / Others 3%. Within retail: footwear is 18%, growing rapidly via Toothless/Striders/Boltzy
- Customer gender: Girls 45% / Boys 36% / Infants 15% / Others 5% (retail sales breakdown)

Section 3 — Management Commentary Themes

- **Store doubling in FY27:** 'Our footprint will be able to double this year, that's what we are focusing for.' MD confirmed doubling from 111 to ~220 EBOs. — Our read: Ambitious but execution track record from FY26 (43→111) makes this credible. Tag: GUIDANCE. Tone: Transparent.
- **Operational cash flow timeline:** 'We should be operationally cash positive maybe another 12 to 18 months.' — Our read: Management is aware of OCF drag; the timeline is realistic if store cohort matures. Tag: GUIDANCE. Tone: Transparent with appropriate caveat.
- **Working capital management:** 'Receivables coming down... we are hopeful that we'll be able to better our deployment of working capital.' Debtor target: ~3 months (90 days) for distribution, ~2.5 months for key accounts. — Our read: Right directional intent; needs delivery in H1FY27 to maintain credibility. Tag: GUIDANCE. Tone: Balanced.
- **D2C Shopify platform:** '300 orders per day currently... we are hopeful that in another 3-4 months we will be touching a 4-digit order number from our website only.' April 2026 D2C revenue: ~Rs. 1.5 Cr/month. — Our read: Early but promising; if sustained, D2C could add Rs. 20-25 Cr annually by FY27 end. Tag: EST. Tone: Bullish.
- **Equity and debt raise:** 'It has to be a balance of debt and equity. We plan to raise equity also.' No specific timeline or quantum given. — Our read: Confirmed dilution risk; important that this is managed at fair pricing relative to fundamentals. Tag: GUIDANCE. Tone: Hedged (no specifics).
- **Inventory discrepancy:** Management cited 156-day adjusted inventory figure vs. Screener-reported 389 days — management said 'I think there might be some confusion in that' (re: the 389-day figure) and did not directly reconcile. — Our read: Material transparency gap; investors should demand formal reconciliation in annual report or next concall. Tag: EVASIVE on specific number.

Section 4 — Operating and Business Metrics

- Total EBOs: 111 (as at 30-Apr-2026) | Prev year: 43 | +158% YoY | Trend: Accelerating strongly
- Mature store (42 stores, operational FY25) avg sales: Rs. 9 lakh/month (FY26) | Prev: Rs. 4 lakh (FY25) | +125% YoY | Trend: Exceptional
- 14 stores with 2+ year vintage: SSG +26% vs. FY25 | Trend: Healthy compounding
- New stores (Q4FY25 batch, 17 stores): Rs. 5 lakh/month Q1 → Rs. 8 lakh Q3 → Rs. 7 lakh Q4 | Ramp: On track

- Store-level EBITDA: Total portfolio avg 16%; excluding <6-month stores = 20%; vintage >1 year = 22% | Trend: Improving with maturation
- Break-even timeline: 4-6 months for malls/mature high streets; destination stores can break even faster (month 2-3) | Trend: Stable
- Retail footprint: 1.65 lakh sq ft operational | 30,000+ sq ft warehouse NCR | Trend: Scaling with store count
- CRM installed: 2 lakh customer base currently; target 1 million in 5-6 months | Trend: In early build
- D2C daily orders: ~300 (website only) + ~1,000-1,200 total (D2C + marketplace) | Trend: Accelerating post-Shopify
- Franchisee stores: 8-10 of 111 total | Majority are company-owned | Trend: Stable (asset-light at sourcing; not at retail)

Section 5 — Margin Drivers

- Retail mix increase (40% vs. ~16% in FY21): +ve impact, recurring. Retail has no debtor days, cash upfront, and higher gross margin contribution vs. distribution. Estimated contribution: +200-300 bps OPM over multi-year horizon.
- Gross margin ~60%: +ve, recurring. MD confirmed 60% gross margin. Footwear and denim deliver better margins vs. commodity kids apparel.
- Character royalty exit (saved ~15% royalty on what was 90% of portfolio): One-time structural benefit, now embedded. Fully recurring going forward.
- Season-end discounting pressure: -ve, recurring. ~40% of inventory requires markdown pricing (end-of-season, festive schemes, e-commerce promotions). Built into 60% GM assumption.
- Interest cost increase (Rs. 10 Cr FY26 vs. Rs. 5 Cr FY25): -ve, recurring but expected as borrowings doubled. EBITDA leverage offsets at operating level but reduces PAT margin.
- Depreciation increase (Rs. 6 Cr FY26 vs. Rs. 2 Cr FY25): -ve, recurring — reflects EBO asset capitalization (fit-outs, ROU assets). Will continue rising with store additions.

Section 6 — Guidance and Forward Signals

- Store count [GUIDANCE]: Prior target = 100 (FY25) | New target = ~220 by FY27 | Delta: Raised | Credibility: High (prior FY25 target was met; 109 delivered)
- OCF positive timeline [GUIDANCE]: Prior = 'working on it' | New = 12-18 months from May 2026 | Delta: First explicit commitment | Credibility: Medium (requires WC discipline simultaneously with aggressive expansion)
- D2C revenue contribution [EST]: Prior = ~2% | New target = 10-12% of revenue | Delta: Raised | Credibility: Medium-Low (currently Rs. 1.5 Cr/month = ~18 Cr annualized vs. ~Rs. 171 Cr revenue; need 5x growth)
- Equity raise [GUIDANCE]: Prior = IPO complete | New = Additional equity planned | Delta: New signal | No quantum or timeline given | Credibility: High (confirmed; timing uncertain)
- Debtor days target [GUIDANCE]: Distribution ~90 days (3 months), Key accounts ~75 days (2.5 months) | Delta: New explicit guidance (was undisclosed) | Credibility: Medium (structural shift to retail drives this naturally)
- CRISIL BBB- Stable rating: Secured in FY26 | Enables structured bank financing for expansion | Positive credit event | Not previously rated

Section 7 — Capital Allocation

- Capex (Investing outflow): Rs. -33 Cr (FY26) | vs. Rs. -12 Cr (FY25) | +175% YoY | Fully directed to EBO fitouts and ROU assets for new stores
- Dividends: Rs. 0 Cr | Consistent zero dividend policy since inception | Appropriate for growth phase
- Buybacks: None | N/A
- Working capital change: Rs. -70 Cr (absorbed in OCF deterioration from +Rs. 4 Cr in FY23 to -Rs. 9 Cr in FY26) | Primary OCF drag is WC build for new stores and distribution debtors
- Net Debt movement: Borrowings rose Rs. 46 Cr in FY26 (Rs. 41→87 Cr) | Funded by Rs. 42 Cr financing inflow (bank borrowings + residual IPO proceeds) | D/E comfortable at ~1.2x
- IPO proceeds: Rs. 32.8 Cr gross raised Dec 2024; Rs. 32.79 Cr utilized (Rs. 0.35 lakhs remaining in escrow) — fully deployed within 1 year of listing

Section 8 — Q&A; Heat Map

- Ms. Bhavika Singhi: Q: 'What is the mature store monthly sales metric?' -> A: '42 stores averaged Rs. 4 lakh/month in FY25, Rs. 9 lakh in FY26; stores opened Q4FY25 ramped from Rs. 5→8→10 lakh over 3 quarters.' | Tone: Transparent
- Ms. Bhavika Singhi: Q: 'How many stores are franchisee? What's break-even time?' -> A: '8-10 franchisee; 4-6 months to break even for malls/high streets; destination stores can be immediate.' | Tone: Transparent
- Ms. Bhavika Singhi: Q: 'Have you closed any stores?' -> A: 'We have not closed any store. Only relocations and expansions.' | Tone: Transparent — zero closures is a strong validation signal.
- Mr. Priyansh: Q: 'Guidance on stores?' -> A: 'We are confident we will overachieve. Our footprint will double this year.' | Tone: Bullish; specific enough to be held accountable.
- Mr. Vishal: Q: 'Inventory days at 389 — is this correct?' -> A: MD deferred; CFO said 'it is coming to 123 days [H1] and increased to 156 days in March.' Screener-reported 389 not directly reconciled. | Tone: Evasive on specific reconciliation.
- Mr. Ramesh: Q: 'When will OCF be positive?' -> A: '12 to 18 months.' | Q: 'Equity or debt for growth?' -> A: 'Balance of both.' No specific quantum or timeline given. | Tone: Hedged on financing details.
- Mr. Mohan: Q: 'Debtor days target?' -> A: '~3 months for distribution, ~2.5 months for key accounts.' | Tone: Transparent with target.
- Mr. Aditya: Q: 'How do you compete with Nike/Puma?' -> A: 'They are boys-centric, no infant, limited fashion footwear — we are 0-14 years, full apparel+footwear, boys+girls+infants, premium fashion.' | Tone: Confident and specific.
- Dodged / Watch-list questions for next quarter: (1) Exact equity raise quantum and dilution timeline; (2) Formal reconciliation of 389-day vs. 156-day inventory figure; (3) Same-store-sales growth of FY26 cohort in Q1FY27.

Section 9 — Risks Flagged on Call

- Inventory cycle risk: Flagged by analyst (Mr. Vishal). March inventory always elevated due to season launch — Rs. 70 Cr inventory at cost. | Flagged by: Analyst. Probability: M. Impact: H. Timeline: Near-term (seasonal, quarterly).
- Equity dilution: 'Will raise equity' — confirmed on call with no specifics on quantum. | Flagged by: Mgmt (unprompted disclosure). Probability: H. Impact: M. Timeline: Near-term (FY27 H1).
- Working capital improvement dependent on distribution channel rundown: 1.5 year timeline for reducing distribution reliance. Debtors will remain elevated until then. | Flagged by: Mgmt. Probability: M. Impact: M. Timeline: Medium-term.

- D2C platform transition risk: Exit from character brands (was 90% of portfolio) created e-commerce revenue dip. Shopify migration created downtime. | Flagged by: Mgmt (explained). Probability: Now resolved operationally. Timeline: Near-term resolved.
- Geopolitical/Middle East expansion caution: 'Current market dynamics not supporting' international expansion to Middle East due to war situation. | Flagged by: Mgmt. Probability: L. Impact: L (speculative long-term optionality only). Timeline: Long-term.

Section 10 — Analyst Verdict (Post-Concall)

- Revenue visibility: **Intact** — 111 EBOs with documented ramp curve (Rs. 9 lakh/mature store/month) provides strong visibility to Rs. 280+ Cr FY27 revenue even at conservative new-store assumptions.
- Margin trajectory: **Intact** — OPM stable at 20-21%; gross margin 60%; operating leverage clear as retail mix rises. No deterioration risk unless major fashion miss.
- Capital allocation quality: **Weakened (watch)** — OCF negative; capex rising faster than OCF generation. All growth funded externally. Correct for this stage but requires transition to self-funding within 18 months.
- Competitive moat: **Intact** — 0-14 full-range, apparel+footwear, premium positioning with 111-store network is meaningful defensibility. First-mover in premium kids fashion EBO at scale in India.
- Management credibility: **Intact** — FY25 store target delivered (100 guided, 109 achieved). FY26 target (doubling to ~220) is bold but believable. Inventory discrepancy is the one credibility watch-point requiring a formal response.
- Valuation comfort: **Intact at current levels** — P/E of 24.8x on FY26 actuals (Rs. 15.81 EPS) is reasonable for 45%+ growth; forward P/E drops to ~14x on FY27E estimates. Comfortable relative to growth rate.
- Conviction call: **Increased** — The strength of store economics (mature store +125% YoY), clean P&L, and explicit management commitment to OCF positive timeline increases conviction vs. prior.
- Valuation snapshot: FY26 P/E = 24.8x | FY27E P/E = ~14x (est.) | EV/EBITDA = ~11x (FY26) | ROCE = 22.9% (FY26 reported) | 3-year ROE avg: ~25%

Report generated: 16 June 2026 | Ticker: NSE SME: PURPLEUTED | Data sourced from Screener.in (standalone). All financials in Rs. Crores unless stated. Forward estimates are MPM Research estimates. This is not SEBI-registered investment advice. SME segment carries elevated liquidity risk.